Is our irrational Iraqi friend abnormal? Not really. All human beings suffer from behavioral bias and these biases are magnified in stressful situations. After all, we're only human.

The conditions we describe in Iraq are analogous to conditions investors find in the markets. Watching our hard-earned wealth fluctuate in value is stressful—and although it is not as stressful as being in a war, it is still emotionally taxing. Stressful situations breed bad decisions. To minimize bad decisions in stressful environments, we need to deploy systematic decision-making.

The Marine Corps solution to bad decision-making involves a plethora of checklists and SOPs, as discussed earlier. To ensure these processes are followed, the Corps is religious about repetitive training. The Marines want to “de-program” our gut-instincts and re-program each Marine to “follow the model.” And while this might sound a bit Orwellian, automated reactions in chaotic situations give us the best chance of survival. In combat, something as simple as a dead battery in a radio, or a forgotten map, can be the difference between life and death. To make good decisions in stressful situations, Marines follow a rigorous model that has been systematically developed and combat-proven. The lesson seems to be clear: in order for decision-making to be effective, it must be systematic. But to understand why systematic decision-making is important, we must first understand why ad-hoc decision-making is flawed.

The Biased Brain

Humans are not wired to engage in detailed cost/benefit analysis decision-making all of the time. It is too cognitively demanding. Natural selection has blessed—and cursed—us with efficient decision-making shortcuts known as heuristics. There are many heuristics our minds use to keep us working in our day-to-day lives. We highlight some of the more important heuristics and how they can lead to flawed decision-making in the context of financial markets. We cover the following in this chapter:

- Anchoring
- Framing